

FROM STRENGTH TO STRENGTH

ICICI Bank is racing ahead with its well-settled strategy of reimagining banking and leveraging digital capabilities. But there are challenges ahead like the expected slowdown in unsecured loans that it must navigate

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FOR 63-YEAR-OLD Sandeep Bakhshi, the Managing Director and Chief Executive Officer who turned ICICI Bank around, there are some basic rules of banking: seize current market opportunities, optimise capital, and strike a balance between risk-return metrics.

He has followed those rules religiously over the past few years, when he has been at the helm of affairs. He has used the insights emanating from them to build a 360-degree customer-centric approach to tap opportunities across segments, leverage technology, build partnerships, and simplify processes.

Thanks to these efforts, there has been a significant shift in ICICI Bank's orientation away from a corporate-focussed banking model towards one that is more retail. While the share of vehicle loans, rural banking, and SMEs in the loan mix has more or less remained consistent over

the last five years, this may reflect the higher risk perception associated with them. However, Bakhshi swiftly seized the significant opportunity presented by business banking. His laser-focussed approach, guided by a philosophy of risk and return, has rewarded the bank and its shareholders with one of the highest returns in its history.

The bank has climbed to the top of the big bank league in terms of growth, asset quality, and returns. Thanks to this, the country's second-largest private bank has emerged as the joint winner in the Bank of the Year category in the BT-KPMG Best Banks and NBFCs Survey 2022-23.

Bakhshi is now busy recalibrating the business model in response to changes in the operating environment. He has to contend with the Reserve Bank of India's (RBI) decision to increase risk weights on unsecured loans to deter excessive lending in the personal loan and credit card segments. Then, on the liability side, there has been a dip

in the current account and savings account (CASA) deposits across the sector. This has translated to an increase in competition for these low-cost deposits, as banks look to shore up their books and get ready to increase corporate lending ahead of a likely boom in the corporate sector.

Analysts, too, feel that the challenges for the bank may emanate from outside. "We believe the challenges will be more systemic than bank specific," says Ajit Kabi, Research Analyst at LKP Securities.

NEEDS OF THE ECONOMY

The bank seems well aware of the restrictions. Anindya Banerjee, Group Chief Financial Officer at ICICI Bank, reiterates that the bank's objective is to cover the whole spectrum of opportunities available in the market. "We are focussing on risk-calibrated business growth. The banking business ultimately reflects the needs of the economy; our growth will depend on whatever is needed in the